

THE GUARANTOR FOR THE PROTECTION OF PERSONAL DATA

IN THE meeting today, attended by
Prof. Pasquale Stanzione, President, Prof.
Ginevra Cerrina Feroni, Vice President, Attorney
Guido Scorza, Member, and Cons. Fabio Mattei,
Secretary General;

HAVING REGARD to Regulation (EU) 2016/679 of the European Parliament and of the Council, of April 27, 2016, concerning the protection of natural persons with regard to the processing of personal data, as well as the free movement of such data and repealing Directive 95/46/EC (General Data Protection Regulation, hereinafter "Regulation");

HAVING REGARD to the Code regarding the protection of personal data (Legislative Decree No. 196 of June 30, 2003), as amended by Legislative Decree No. 101 of August 10, 2018, containing provisions for the adaptation of the national legal system to the aforementioned Regulation (hereinafter "Code");

HAVING REGARD to the documentation in the records;

HAVING REGARD to the observations made by the Secretary General pursuant to Article 15 of the Guarantor's Regulation No. 1/2000;

REPORTING Prof. Pasquale Stanzione;

PREMISE

1. THE INSTRUCTIONAL ACTIVITY

With the complaint of February 2, 2023, submitted to this Authority pursuant to Article 77 of the Regulation, Mr. XX complained about receiving an unwanted phone call on December 30, 2022, from A.C. Group S.r.l.s. (hereinafter also "A.C. Group" and "Company") on his line registered with the Public Opposition Register (so-called "RPO"), in the absence of prior informed consent. The complainant also found the response from A.C. Group to the request to exercise the rights under Articles 15, 17, and 21 of the Regulation, made on January 4, 2023, unsatisfactory.

In this response, the Company, assuring that it had proceeded to delete the personal data of the interested party, indicated the subject from whom it would have acquired the same data – XX (hereinafter "XX" or "supplier") – and of which it would only possess the phone number used for commercial contacts made via WhatsApp. Therefore, not having further contact data of the supplier and not having, according to its claims, the consent to communicate the same to third parties, the Company did not satisfy the request of the interested party to obtain such contacts to exercise against XX the right to object to further processing.

Finally, A.C. Group, in its communications with the complainant, found that the data provided by XX was not updated, as the residence of the interested party indicated in the list in question would date back 14 years.

On February 8, 2023, the Office - in order to acquire useful elements for a complete assessment of the profiles related to the lawfulness of the processing - made a request for information, pursuant to Article 157 of the Code, to which the Company responded with a note dated February 23, 2023, elaborating and clarifying much of the content already expressed in the responses provided to the complainant.

First of all, the Company clarified its "modus operandi" consisting of contacting potential customers by phone to ascertain interest in the installation of photovoltaic systems and to schedule a possible home demonstration appointment.

The contact numbers - referred exclusively to residents of the areas of Rovigo, Bologna, Ferrara, and Padua - have been acquired over time from various Italian companies that would have guaranteed "exclusively controlled lists" consisting of lines, both fixed and mobile, not registered with the RPO. Such lists, merged into the Company's server and entered into the management system "callite," are used by operators for commercial offers of A.C. Group aimed at residents of the selected area. During the phone call, made using the visible number attributable to the Company, the operator adheres to the specifically prepared call script.

In the case of the complaint, A.C. Group specified that it obtained the phone contact of XX, an American company, from a third party operating in the same energy sector, which would have transmitted, via WhatsApp, the list of contactable names, among which was the complainant. This circumstance, according to the Company, would represent an exception as commercial contacts are usually provided by Italian companies and not foreign ones. Moreover, A.C. Group emphasized that it did not know that XX was an American company, having only the phone contact.

Having noted the unreliability of XX regarding the incorrect and outdated data of the lists (see the residence of the complainant), the Company, in addition to having acted in civil court by filing a complaint, assured that it had undertaken "a different strategy for the search for names to contact," deciding to turn in the future "exclusively to established companies in the sector in Italy." Finally, during the phone contacts, it stated that it had prepared a notice to read at the beginning of the call "in order to obtain the prior informed consent from the user to process the data solely for the purpose of promoting its products."

2. THE CONTESTATION OF VIOLATIONS

On May 24, 2023, the Company was notified of the initiation of the procedure, pursuant to Article 166, paragraph 5, of the Code, for the adoption of any measures referred to in Article 58, paragraph 2, of the

Regulation. With this communication (prot. n. 82790/23), the alleged violations of the following provisions have been attributed to A.C. Group:

2.1. Articles 5 paragraph 1 letter a), 6 paragraph 1 letter a), 7 of the Regulation and Article 130 of the Code, for having made promotional phone calls without the informed consent of the interested parties;

2.2. Article 1, paragraph 11, of Law No. 5/2018, in relation to the subsequent paragraph 12 and Article 130 paragraph 3 of the Code, concerning the conduct of telemarketing activities without having consulted the Public Register of Oppositions on a monthly basis or in any case prior to each promotional campaign;

2.3. Articles 12, 13, and 14 of the Regulation, for failing to provide adequate information during promotional contacts;

2.4. Articles 5 paragraphs 1 and 2, 24 paragraphs 1 and 2, 25 of the Regulation, for not having adopted adequate organizational measures aimed at tracking processing activities and demonstrating compliance with the regulations, including with regard to the entire supply chain of commercial partners.

In this regard, the Company has been invited to communicate how many records acquired from list providers were registered in the company systems and how many of them were targeted by promotional phone calls.

3. DEFENSIVE OBSERVATIONS

The Company, in exercising its right of defense, submitted its statements on June 21, 2023, in which it essentially confirmed what was stated in the response of February 23, 2023, highlighting how the commercial relationship with XX constituted an exception to the usual operational mode.

A.C. Group, in fact, relies solely on the numbers provided by Italian companies for its marketing activities.

The list acquired from XX in mid-November 2022 "was kept within the management system for about a month and a half" and was immediately deleted as soon as the complaint from Mr. XX was received. Therefore, according to the Company's assertions, it is not possible to fulfill the Authority's request regarding the number of records acquired from XX registered in its databases since currently the only

numbers retained in the company systems, "accompanied by free, explicit, and informed consent," are those provided by an Italian company and amount to approximately 6,900 names in 2021 and 30,000 in 2023.

A.C. Group also illustrated the initiatives undertaken to "increase the level of compliance of internal processes [...] with the regulations [...] on the protection of personal data," stating that it has engaged an external consulting company for privacy matters for this purpose. In specifying that it registered with the Public Register of Oppositions on January 17, 2023, it declared that it constantly verifies the presence of the numbers to be contacted in the same. It has revised the call script (of which a copy has been produced) and prepared a new text for the information on the processing of personal data. Finally, it reiterated that it promptly deleted from its databases the name of the complainant, who was promptly informed, emphasizing the uniqueness of the complained conduct (it was a single phone call lasting "a maximum of 30 seconds").

4. LEGAL ASSESSMENTS

With reference to the factual profiles highlighted above, also based on the statements of the Company, for which the declarant is responsible pursuant to Article 168 of the Code, the following legal assessments are made.

4.1. Data from list providers and consent of the interested parties

The promotional activity of the Company has been found to have been carried out without verifying the conditions of lawfulness of the processing, with particular reference to the prior consent of the interested parties.

From the analysis of the records acquired "exceptionally" from XX and promptly deleted following the procedure initiated before the Authority, as well as the lists provided by the Italian partner that currently populate the corporate database, it has not emerged that A.C. Group verified the existence of the legal basis of consent that would have legitimized the promotional contacts.

Furthermore, it has not been established that the Company consulted the Public Register of Oppositions regarding the records provided by XX or the additional numbers acquired over the years from Italian partners, despite A.C. Group having guaranteed to carry out this obligation before conducting any promotional campaign.

In this regard, it should first be noted that the documentation produced in support of the defensive statements would only certify the Company's authorization, as an operator, to the services for updating the lists in the Public Register of Oppositions and not the actual consultation of the numbers provided by XX or other partners; moreover, the described authorization was registered in January 2023, thus after the phone call to the complainant on December 30, 2022.

Therefore, already in the first contact with the interested party, A.C. Group should have submitted the list of records that had now passed into its availability for verification against the Public Register of Oppositions; a circumstance that would have allowed the exclusion of the complainant, who had correctly made his opposition, from the list of contactable subjects. Furthermore, it should have verified that the presence of the numbers in the list was legitimized by the will of the interested parties to be contacted for purposes.

promotional activities, through the signing of specific consents.

A.C. Group, on the other hand, has never mentioned the presence or absence of an original consent that authorized at least the first promotional call, but the realization of the contacts appeared to be primarily subject to a geographical criterion; therefore, the commercial calls were made not based on a specific consent but on the Company's need to contact users in a certain area/geographical zone. In fact, according to the Company, if the complainant's data had been correct and indicated his current place of residence, the call on December 30, 2022, would not have been made because it was "the intention" of A.C. Group "to contact names [from] Bologna and not [from] Treviso" (see response of February 23, 2023).

The described conduct, as admitted by the Company itself, constitutes the "modus operandi" with which the promotional activity is carried out and has also been replicated concerning the numbers acquired from XX, moreover in the absence of any guarantee, even of a formal nature, regarding their legality.

It has emerged, therefore, that A.C. Group did not verify that its partners had provided the interested

parties with suitable information, pursuant to Article 14 of the Regulation, and obtained specific consent for communication to third parties (including A.C. Group) for marketing purposes, with consequent implications for the legitimacy of the Company's promotional activity.

In conclusion, the described processing has resulted in the execution of promotional calls without the informed consent of the interested parties since the Company has not produced evidentiary responses to document its acquisition. Nor can this non-compliance be considered overcome by the reassurances offered by the suppliers regarding the legality of the lists (as in the case of the contract signed in 2023 with the Italian partner - point 2.5 - the only one available), nor can the contractual provision of indemnity clauses regarding the verification of consents (such as that expressed in the cited act at point 2.6) be deemed relevant, as it only has value concerning the contractual relationships between the parties and not regarding the guarantees to be provided to the interested party concerning the processing of their data. Furthermore, the proposals for new promotional activities put forward by the Company in the response of February 23, 2023, along with recent initiatives, are not suitable to overcome the identified critical issues, as the method of requesting consent during the first call appears confirmed, without verifying its acquisition before each campaign.

Therefore, the violation of Articles 5 par. 1 lett. a), 6 par. 1 lett. a), 7 of the Regulation and Article 130 of the Code must be confirmed, for having carried out telemarketing activities in the absence of prior informed consent from the interested parties, not only in relation to the case of the complaint but in the overall processing carried out by A.C. Group.

It is also believed that the violation of Article 1, paragraph 11, of Law No. 5/2018, in relation to the subsequent paragraph 12 and Article 130, paragraph 3, of the Code, is integrated, concerning the conduct of telemarketing activities by the Company without having consulted the complainant's telephone number in the Public Register of Oppositions and the records acquired from XX.

4.2. Telephone Contacts and Information

The call script used during the promotional contacts - attached to the response of February 23, 2023, and, in its renewed version, to the defense memorandum - contains only the indication of the data controller being A.C. Group and a generic reference to the privacy notice that may be consulted by accessing the Company's website (<http://www.acgroupovigo.com/>).

The text as formulated, lacking even the necessary information on the origin of the personal data (i.e., the subject from whom the same data would have been acquired), does not allow the interested party to have full knowledge of the processing carried out by the Company. Nor does the mere deletion of the complainant's data, as represented by A.C. Group in the response, fulfill the obligations of the data controller to provide the requester with all the information that would have allowed them to exercise control over their personal data (see provision of January 27, 2022, No. 23, web doc No. 9746068 at www.gpdp.it).

Moreover, it must be noted that the lack of such elements in the call script cannot be considered overcome by the fact that the data may be known from other sources, nor can a mechanism that forces the interested party to access A.C. Group's website, or to express interest in the Company's services, to acquire all the information mandatorily required by Articles 13 and 14 of the Regulation be deemed suitable and therefore legitimate, thus also violating the requirement for easy accessibility of information underlying Article 12 of the Regulation, in the broader context of the fundamental principle of transparency (see provision of December 15, 2022, No. 429, web doc No. 9852290; provision of May 27, 2021, No. 217, web doc No. 9689375; provision of April 13, 2023, No. 183, web doc No. 9894662, all at www.gpdp.it).

In addition, it is noted that, as stated above, it has not been proven that the interested parties were provided with the information from the list providers, including that of XX, as a necessary prerequisite for the legality of the communication of data to A.C. Group and subsequent use for promotional purposes, which also affects the validity of any

****Original Consent to Marketing.****

Therefore, it is considered confirmed that the violation of Articles 12, 13, and 14 of the Regulation has occurred, as it does not appear that a suitable information notice was provided to the data subjects, not only in relation to the case of the complaint but in the overall context of the processing carried out by A.C. Group.

****4.3. On Accountability****

The treatments described above present a picture of inadequate control and non-compliance with the rules regarding the protection of personal data. A.C. Group has not provided elements capable of proving the lawfulness of the processing, particularly regarding the obligations of information and consent. This applies both to the Italian partners and to XX, with whom the economic terms of the promotional campaign were defined via WhatsApp (see invoice sent via WhatsApp on 11/08/2022), without following up on agreements or directives, even if not explicitly stated in contractual form, that would have allowed for the reconstruction of the legal context in which the processing took place and to concretely qualify the roles and responsibilities of the Company and the entire supply chain. It should also be noted that the Company does not appear to have taken any precautions in choosing the supplier XX, with whom it would have come into contact through a third party operating in the energy sector, without paying attention to the aspects related to data processing and the guarantees recognized to the data subjects. Only after the complainant's request and the observations raised by them did the Company realize that the data provided by XX was not updated and, therefore, incorrect. Therefore, the processing of personal data for marketing purposes, carried out using demographic lists obtained from XX, has proven to lack the requirements of lawfulness, correctness, and transparency identified by Article 5 of the Regulation.

In the absence of adequate controls over the entire processing chain (from collection to the implementation of the promotional campaign), the marketing activity is in violation of Articles 5, paragraph 2, and 24 of the Regulation, which frame the responsibilities of the data controller in a perspective of necessary enhancement of the principle of accountability aimed at proving compliance with obligations regarding the protection of personal data, also taking into account the principle of privacy by design (Article 25 of the Regulation).

****5. CONCLUSIONS****

Based on the above, A.C. Group's responsibility for the following violations of the Regulation is deemed established:

- Article 5, paragraph 2;
- Article 6, paragraph 1, letter a);
- Article 7;
- Article 12;
- Article 13;
- Article 14;
- Article 24;
- Article 25;

as well as Article 130 of the Code.

Having established the unlawfulness of the above-described conduct of the Company, it is necessary to:

- a) prohibit the processing of personal data collected in the absence of informed, free, specific, documented, and unequivocal consent from the data subjects for marketing activities, pursuant to Articles 6, 7, 12, and 14 of the Regulation, as well as Article 130 of the Code;
- b) order A.C. Group to promptly delete said data, except for those that must be retained for compliance with legal obligations or for any contractual reasons;
- c) order, in the event that the Company intends to direct promotional activities in the future towards telephone numbers provided by third parties:
 - to adopt suitable procedures aimed at constantly verifying, including through appropriate random checks, that personal data is processed in full compliance with the relevant provisions (prior acquisition of free, specific, unequivocal, documented, as well as informed consent from the data subjects for sending commercial communications), pursuant to Articles 6, 7, 12, 13, and 14 of the Regulation as well as Article 130 of the Code;
 - to adopt adequate procedures aimed at keeping track of processing activities also within the supply chain and proving compliance with the rules regarding the protection of personal data (Articles 5,

paragraph 2, and 24 of the Regulation);

d) with regard to the treatments already carried out, it is believed that the conditions exist for the application of an administrative monetary sanction pursuant to Articles 58, paragraph 2, letter i), and 83, paragraphs 4 and 5, of the Regulation.

****6. ORDER FOR THE APPLICATION OF THE ADMINISTRATIVE MONETARY SANCTION****

Based on the above, various provisions of the Regulation and the Code have been violated in relation to connected treatments carried out by A.C. Group, for which it is necessary to apply Article 83, paragraph 3, of the Regulation, according to which “if, in relation to the same processing or connected treatments, a data controller violates, with intent or negligence, various provisions of the Regulation, the total amount of the administrative monetary sanction shall not exceed the amount specified for the most serious violation,” with the consequent application of only the sanction provided for by Article 83, paragraph 5, of the Regulation.

For the determination of the amount of the sanction, which must “in any case [be] effective, proportionate, and dissuasive” (Article 83, paragraph 1), it is necessary to take into account the elements indicated in Article 83, paragraph 2, of the Regulation.

As circumstances to be considered in the...

In the specific case, the following aggravating factors must be considered:

1. The severity of the violations detected, with particular reference to the absence of sample checks on the contact numbers acquired from partners and the related marketing consent provided by the holders of the same, as well as the inadequacy of the information provided during promotional calls, taking into account that A.C. Group has stated that it has only deleted the records provided by XX, while retaining additional data obtained from Italian suppliers, believing its actions to be correct (art. 83, par. 2, lett. a);
2. The high number of data currently stored in the company management system that are subject to processing for promotional purposes, not only in the absence of consent but in total unawareness of the data subjects (art. 83, par. 2, lett. a);
3. The inconsistency of the Company's conduct compared to the significant regulatory activity of the Authority regarding marketing, with particular reference to information and consent (art. 83, par. 2 lett. k).

As mitigating factors, the following should be taken into account:

1. The absence of previous sanctioning proceedings against the Company (art. 83, par. 2 lett. e);
2. The nature of the data processed, consisting of common personal and contact data, as well as the level of harm caused to the data subject, which is considered to be of minor significance since the conduct complained of in the complaint involved only one unwanted call from the Company (art. 83, par. 2, lett. a and g);
3. The degree of cooperation in the interaction with the supervisory Authority (art. 83, par. 2, lett. f);
4. The nature of A.C. Group S.r.l.s. as a micro-enterprise, as well as the 2022 financial data provided by the Company (art. 83, par. 2, lett. k).

Based on the overall elements indicated above, applying the aforementioned principles of effectiveness, proportionality, and deterrence as per art. 83, par. 1, of the Regulation, taking into account that the maximum applicable in this case is 20 million euros (art. 83, par. 5, Reg.) and the necessary balancing between the rights of the data subjects and the freedom of enterprise, also in order to limit the economic impact of the sanction on the organizational, functional, and employment needs of the Company, it is deemed that an administrative sanction of a payment of 10,000.00 euros (ten thousand/00), equal to 0.05% of the maximum penalty, should be applied to A.C. Group.

In this case, it is also deemed that the accessory sanction of publication on the Garante's website of this provision, as provided for by art. 166, paragraph 7, of the Code and art. 16 of the Garante's Regulation no. 1/2019, should be applied, considering the subject matter of the investigation, namely the phenomenon of unwanted marketing, which can cause significant harm to the rights and freedoms

of the data subjects, regarding which this Authority has adopted numerous measures both of a general nature and directed at specific data controllers, and on which there is heightened attention from the public.

It is reminded that, pursuant to art. 170 of the Code, anyone who, being obliged, does not comply with this prohibition on processing is punished with imprisonment from three months to two years and that, in case of non-compliance with the same provision, the sanction referred to in art. 83, par. 5, lett. e) of the Regulation is also applied in the administrative context.

Finally, the conditions referred to in art. 17 of Regulation no. 1/2019 concerning internal procedures with external relevance, aimed at carrying out the tasks and exercising the powers entrusted to the Garante, for the annotation of the violations detected here in the internal register of the Authority, as provided for by art. 57, par. 1, lett. u) of the Regulation, are met.

ALL OF THE ABOVE CONSIDERED, THE Garante

pursuant to art. 57, par. 1, lett. f) of the Regulation, declares unlawful, in the terms set out in the reasoning, the processing carried out by A.C. Group S.r.l.s., with registered office at Via Luigi Einaudi, n. 99, 45100 Rovigo, VAT number 01609100290, and consequently:

a) pursuant to art. 58, par. 2, lett. f) of the Regulation, prohibits the processing of personal data collected in the absence of informed, free, specific, documented, and unequivocal consent from the data subjects for marketing activities, pursuant to arts. 6, 7, 12, and 14 of the Regulation, as well as 130 of the Code;

b) pursuant to art. 58, par. 2, lett. d) of the Regulation, orders the Company to promptly delete said data, except for those that must be retained for compliance with legal obligations or for any contractual reasons;

c) pursuant to art. 58, par. 2, lett. d) of the Regulation, orders that if the Company intends to direct promotional activities in the future towards telephone users provided by third parties:

- to adopt suitable procedures aimed at constantly verifying, including through appropriate sample checks, that personal data are processed in full compliance with the provisions in this regard (prior acquisition of free, specific, unequivocal, documented, as well as informed consent from the data subjects for sending commercial communications), pursuant to arts. 6, 7, 12, 13, and 14 of the Regulation as well as art. 130 of the Code;

- to adopt adequate procedures aimed at keeping track of processing activities also within the supply chain and to prove compliance with data protection regulations.

personal data (Articles 5, paragraph 2, and 24 of the Regulation);

d) pursuant to Article 157 of the Code, orders the Company to communicate to the Authority, within 30 days from the notification of this provision, the initiatives undertaken in order to implement the imposed measures; any failure to comply with the provisions of this point may result in the application of the administrative monetary sanction provided for by Article 83, paragraph 5, of the Regulation.

ORDERS

pursuant to Article 58, paragraph 2, letter i) of the Regulation, A.C. Group S.r.l.s., represented by its legal representative, to pay the sum of €10,000.00 (ten thousand/00), as an administrative monetary sanction for the violations indicated in the reasoning; it is noted that the offender, pursuant to Article 166, paragraph 8, of the Code, has the option to settle the dispute by payment, within 30 days, of an amount equal to half of the imposed sanction;

ORDERS

the aforementioned Company, in case of failure to settle the dispute pursuant to Article 166, paragraph 8, of the Code, to pay the sum of €10,000.00 (ten thousand/00) according to the methods indicated in the annex, within 30 days from the notification of this provision, under penalty of the adoption of subsequent enforcement actions in accordance with Article 27 of Law No. 689/1981;

PROVIDES

as an ancillary sanction, pursuant to Article 166, paragraph 7, of the Code and Article 16 of the Garante Regulation No. 1/2019, the publication on the Garante's website of this provision and,

pursuant to Article 17 of the Garante Regulation No. 1/2019, the annotation in the Authority's internal register, as provided for by Article 57, paragraph 1, letter u) of the Regulation, of the violations and the measures adopted.

Pursuant to Article 78 of Regulation (EU) 2016/679, as well as Articles 152 of the Code and 10 of Legislative Decree No. 150 of September 1, 2011, an appeal against this provision may be submitted to the ordinary judicial authority, with an application filed at the ordinary court of the place where the data controller resides, or, alternatively, at the court of the place of residence of the data subject, within thirty days from the date of communication of this provision, or sixty days if the appellant resides abroad.

Rome, October 26, 2023

THE PRESIDENT

Stanzione

THE REPORTER

Stanzione

THE SECRETARY GENERAL

Mattei